THE NATIONAL COMPANY LAW TRIBUNAL, COURT-V, NEW DELHI

Company Application No. CA (CAA) -90/230/232/ND/2020

U/S 230-232 and other applicable provisions of the Companies Act, 2013

Item 512 of 09.09.21

In the Matter of:

Digilife Distribution and Marketing Services Limited
806, Siddharth 96, Nehru Place, New Delhi-110019

.... Transferor Company- 1

And

HCL Learning Limited
806, Siddharth 96, Nehru Place, New Delhi-110019

.... Transferor Company- 2

With

HCL Infosystems Limited
806, Siddharth 96, Nehru Place, New Delhi-110019

.... Transferee Company

Order Delivered on 17.09.2021

Coram:
Hon'ble P.S.N Prasad, Member (J)
Hon'ble K.K. Vohra, Member (T)

Present:
For the Petitioners: Advs Mahesh Agarwal, Rishi Agarwal, Rajeev Kumar

ORDER

Per: K.K. Vohra, Member (T)

1. This is an Application filed jointly by the Petitioner Companies (Cos) named above under Section 230-232 of the Companies Act, 2013 (the Act) and other applicable provisions of the Act read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (the Rules) in relation to the Scheme of Arrangement by way of Amalgamation (Scheme) involving two Transferor & one Transferee Cos. The said Scheme is annexed (pg 45) to the Petition. Affidavits in support of this Application sworn for and on behalf of the Petitioner Cos by Mr Sushil Kumar Jain has been filed, being the Authorized Signatory of the Petitioner Cos.

2. The Petitioner Cos in their main Petition CA (CAA)-90/230/232/ND/2020 prayed for dispensation of meeting of Shareholders. Subsequently, an application CA-161/2021 has been filed under Rule 155 R/w Rule 11 of National Company Law Tribunal Rules, 2016 (NCLT Rules) for convening meeting of the Shareholders of the Petitioner Cos duly approved by Board of Directors. On 08.04.21, this Court allowed to amend the prayers in the main Petition. During the course of hearing on 09.09.21 the Ld Counsel for the Petitioners agreed to convene meetings of Unsecured Creditors of Transferor Co 1 and Transferee Co. The Petitioner Cos have made, among others, the following final prayers:

a) Convene separate meetings of Shareholders of the Transferor and Transferee Cos
b) Dispense meetings of Secured Creditors of the Petitioner Cos
c) Convene meetings of Unsecured Creditors of Transferor Co 1 and Transferee Co
d) Grant exemption from sending individual notices to Unsecured Creditors of the Transferee Company having debt value up to Rs 2,00,000 each
e) Direct service of notice of the present Petition on Statutory Authorities

3. It is represented that a Joint Application filed by the Petitioner Cos (Petitioners) is maintainable in view of Rule 3(2) of the Rules. It is also represented that the registered office of Transferee Co is situated within the territorial jurisdiction of this Tribunal.

4. The Petitioner Cos have furnished (as on 31.3.21) the number of the Shareholders, Secured Creditors and Unsecured Creditors as follow:

S. No.	Company	Shareholders	Secured Creditors	Unsecured Creditors
1.	Transferor Co 1	7	0	27
2.	Transferor Co 2	7	0	10
3.	Transferee Co	96,477	0	1198

5. Perusal of the Application indicates the details of the capital structure of the Cos as on 31.3.21 as follow:

S. No.	Company	Date of incorporation	Authorized Share Capital (Rs)	Paid up and subscribed share capital (Rs)	CIN No.
1.	Transferor Co 1	19.03.2008	Rs 60,00,00,000 divided into 6,00,00,000 equity shares of Rs 10 each	Rs 56,05,00,000 divided into 5,60,50,000 equity shares of Rs 10 each	U729 00DL 2008 PLC1 75605
2.	Transferor Co 2	28.09.2012	Rs 10,00,000 divided into 1,00,000 equity shares of Rs 10 each	Rs 7,52,740 divided into 75,274 equity shares of Rs 10 each	U809 00DL 2012 PLC2 42907
3.	Transferee Co	17.04.1986	Rs 110,50,00,000 divided into 55,25,00,000 equity shares of Rs 2 each and Rs 5,00,00,000 divided into 5,00,000 Preference Shares of Rs 100 each	Rs 65,84,19,856 divided into 32,92,09,928 equity shares of Rs 2 each	L722 00DL 1986 PLC0 23955

6. It is stated that the present Scheme is in the form of amalgamation of Transferor Cos with Transferee Co. The Petitioner Cos have filed their respective Memorandum and Articles of Association, inter alia, delineating their object clauses as well as Audited Annual Accounts for the year ended 31.03.2021. The Transferor Co 1 is engaged in the business of value-added distribution of technology, mobility and consumer electronic products. Transferor Co 2 is engaged in the business of selling of digitised educational content and learning solutions and Transferee Co is engaged in the business of value-added distribution of technology, mobility and consumer electronic products. The objective of amalgamation is to consolidate business into one corporate entity which would result in operational synergies, simplification of the corporate structure, reduction of legal entities, overall reduction in administrative, managerial and other expenditure for optimum utilisation of various resources.

7. The Transferee Co has prayed for exemption from sending individual notices to Unsecured Creditors of the Transferee Company having debt value up to Rs 2,00,000 each. In this context, Transferee Co has relied on the Order passed by Principal Bench in the matter of *Relaxo Footwear Limited* CA (CAA)-86/(PB)/2018 wherein individual notices to Unsecured Creditors having outstanding balance below Rs 1,00,000 each were dispensed with. The petitioners have stated that Unsecured Creditors below Rs 1,00,000 each as on 31.03.21 are 1004 in number and 0.28% in value (Pg 4 of affidavit 23.07.21).

8. The Petitioners have furnished the Lists of all Unsecured Creditors (with balance of Rs 1.0 lakh each and above as well as with balance of below Rs 1.0 lakh each) totalling Rs 583 crores. Further, there are other Creditors on account of Statutory dues etc included in Balance Sheet as on 31.03.21. Petitioners are directed to ensure that the total of creditors to whom the notices are sent should tally with the amount of Creditors in the Balance Sheet as on 31.3.21. In view of large number of Creditors and prayer to dispense with notices to very small value Creditors, Transferee Co is **directed** to send individual notices to all Unsecured Creditors and other creditors having an outstanding balance of Rs 1.0 lakh or more each as per audited balance sheet as on 31.03.21, as per Rules in prescribed formats.

9. The Board of Directors of Transferor Cos have unanimously approved the proposed Scheme on 05.08.20 and Board of Transferee Co approved the Scheme on 06.08.20. Copies of resolutions have been placed on record (pg 150, 305 and 451).

10. The appointed date as specified in the Scheme is 1st April 2020 subject to the directions of this Tribunal.

11. The Petitioners have stated in the Affidavit dated 23.07.21 (pg 2-6) that there are no pending investigations or proceedings against the Petitioners.

12. In respect of Secured Creditors, it is stated that Transferor Cos 1, 2 and Transferee Co have Nil Secured Creditors. In respect of Transferor 2 Co, there are 10 Unsecured Creditors out of which 1 in number has given Consent affidavit which constitutes 97.7% in value of total Unsecured Creditors (Pg 20 of affidavit dated 6.7.21). Therefore, in light of provisions of Section 230(9) of the Act, the prayer for dispensation of meeting of Unsecured Creditors of Transferor 2 Co is **allowed** since more than 90% in value of Unsecured Creditors have given consent affidavits.

13. Heard the submissions of the Ld. Counsel for the Petitioner Cos.

14. This Tribunal issues the following **directions** with respect to calling, convening, and holding of the meetings:

A. Transferor Co 1:

(i) With respect to Equity Shareholders:

The Meeting of the Shareholders of the Transferor Co 1 shall be convened on 5th November, 2021 at 10:30 AM at 806, Siddharth 96, Nehru Place, New Delhi-110019 through Video Conferencing or as per the extant Regulations/Circulars of MCA including relevant Secretarial Standards. The quorum of the meeting shall be as per the number provided under Section 103 and 75% in value as provided in Section 230 (6) of the Act.

(ii) With respect to Secured Creditors:

Since it is represented that there is no Secured Creditor, the necessity of convening a meeting does not arise.

(iii) With respect to Unsecured Creditors:

The Meeting of the Unsecured Creditors of the Transferor 1 Co shall be convened on 5th November, 2021 at 11:30 PM at 806, Siddharth 96, Nehru Place, New Delhi-110019 through Video Conferencing or as per the extant Regulations /Circulars of MCA including relevant Secretarial Standards. The quorum of the meeting shall be as per the number provided under Section 103 and 75% in value as provided in Section 230 (6) of the Act.

B. Transferor Co 2:

(i) With respect to Equity Shareholders:

The Meeting of the Shareholders of the Transferor Co 2 shall be convened on 5th November, 2021 at 12:30 AM at 806, Siddharth 96, Nehru Place, New Delhi-110019 through Video Conferencing or as per the extant Regulations /Circulars of MCA including relevant Secretarial Standards. The quorum of the meeting shall be as per the number provided under Section 103 and 75% in value as provided in Section 230 (6) of the Act.

(ii) With respect to Secured Creditors:

Since it is represented that there is no Secured Creditor, the necessity of convening a meeting does not arise.

(iii) With respect to Unsecured Creditors:

It is represented that 97.7% in value of total Unsecured Creditors have given their consent affidavits in favour of the Scheme. Hence, the request for dispensing with the meeting is accepted.

C. Transferee Co:

(i) With respect to Equity Shareholders:

The Meeting of the Shareholders of the Transferee Co shall be convened on 5th November, 2021 at 3:30 PM at 806, Siddharth 96, Nehru Place, New Delhi-110019 through Video Conferencing or as per the extant Regulations /Circulars of MCA including relevant Secretarial Standards. The quorum of the meeting shall be as per the number provided under Section 103 and 75% in value as provided in Section 230 (6) of the Act.

(ii) With respect to Secured Creditors:

Since it is represented that there is no Secured Creditor, the necessity of convening a meeting does not arise.

(iii) With respect to Unsecured Creditors:

The Meeting of the Unsecured Creditors of the Transferee Co shall be convened on 5th November, 2021 at 2:30 PM at 806, Siddharth 96, Nehru Place, New Delhi-110019 through Video Conferencing or as per the extant Regulations/Circulars of MCA including relevant Secretarial Standards. The quorum of the meeting shall be as per the number provided under Section 103 and 75% in value as provided in Section 230 (6) of the Act.

D. The Petitioner Cos may organize the aforementioned meetings with remote e-voting facility if needed, or in person in strict compliance with the circulars/guidelines issued by the Ministry of Corporate Affairs (MCA) and other Rules/Regulations in this regard.

E. Mr. Pushpendra Surana CA (Email: psurana@suranaca.com) is appointed as the common Chairperson and Mr. Suman Kumar Verma CA (Email: ipskverma@gmail.com) is appointed as the Alternate Chairperson and Mr Ramkripal Sharma, CS (Email: iprksharma@gmail.com) is appointed as common Scrutinizer for the aforementioned meetings as directed to be convened.

F. In case the quorum as noted above for the meetings are not present at the meetings in the first round, the meetings shall be adjourned by half an hour, and thereafter the persons present, and voting shall be deemed to constitute the quorum; however, the requirement of Section 230 (6) of the Act shall be complied with regard to agreement to the Scheme by

majority of persons representing 75% in value. For the purpose of computing the quorum, the valid proxy shall also be considered, if the proxy in the prescribed Form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the Petitioner Cos at least 48 hours before the meetings. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained.

G. The fee of the Chairperson for the aforesaid meetings shall be Rs 50,000 and the fee of the Alternate Chairperson shall be Rs 40,000. The fee of the Scrutinizer shall be Rs 40,000. All these fees will be in addition to incidental expenses. The Chairperson will file reports within a week from the date of holding of the meetings.

H. **Individual notices** of the meetings shall be sent by the Petitioner Cos through **speed post and email**, 30 days in advance of the date of meetings, indicating the day, date, place, and the time, together with a copy of Scheme and explanatory statement etc., required to be sent under the Act and relevant Rules. The prescribed Form of proxy shall also be sent, along with any other document as may be prescribed under the Act or Rules.

I. The Petitioner Cos shall publish advertisement at least 30 days before the date of meetings in the Form prescribed, indicating the day, date, time and place, to be published in Delhi editions of 'Business Standard' both English and Hindi stating that the copies of Scheme, the explanatory statement required to be furnished pursuant to Section 230 of the Act and the Form of proxy shall be provided free of charge at the registered offices of the Petitioner Cos. Such publication will also serve the purpose of notice to small creditors having outstanding amount below Rs 1.00 lakh each to whom the individual notices are not being sent. Voting shall be allowed on the proposed Scheme by Video Conferencing or in person or by proxy, through postal ballot as may be applicable for the respective meetings of the Petitioner Cos under the Act, Rules and circulars/guidelines issued by the MCA framed there under.

J. In addition to the public notice, the Petitioner Cos are **also directed to** serve the notice of the Application by all modes **(Email, Speed Post etc.)** in Forms prescribed under the Act/ relevant Rules on the following Authorities:

- Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs at MCA, B-2 Wing, 2nd Floor, Paryavaran Bhavan, CGO Complex, New Delhi-1100 03; Email: rd.north@mca.gov.in
- Registrar of Companies, NCT of Delhi & Haryana, Ministry of Corporate Affairs at 4th Floor, IFCI Tower, 61 Nehru place, New Delhi-110019; Email: roc.delhi@mca.gov.in
- Income Tax Department, at DCIT (HC Cell), Lawyer's Chamber Block No.1, Room 428, Delhi High Court, New Delhi-110503; Email: delhi.dcit.judicial.hc@incometax.gov.in
- Official Liquidator attached to the High Court of Delhi at Lok Nayak Bhavan, 8th Floor, Khan Market, New Delhi-110001 Email: ol.delhi@mca.gov.in
- SEBI at NBCC Complex, Office Tower-1, 8th Floor, Plate B, East Kidwai Nagar, New Delhi - 110023, Email: sebinro@sebi.gov.in
- Such other Sectoral Regulatory Authorities who are likely to be affected by the Scheme within 7 days from the date of this order. The said authorities are directed to send their representations if any, within 30 days from the date of receipt of such notice as per the provisions of sub-section 5 of Section 230 of the Act.

K. Further, notices shall also be served to the Objectors or to their representative, if any, as contemplated under Sub-Section (4) of Section 230 of the Act who may have made representations and who have desired to be heard in their representations along with a copy of the Petition and the Annexures filed therewith at least 15 days before the date fixed for hearing.

L. The authorized representative of the Petitioner Cos shall furnish an affidavit of service of notices of meetings and publication of advertisement and compliance of all directions contained herein or as provided under Act/ Rules/ Circulars at least a week before the proposed meetings.

M. If any affidavit annexed with the Petition is found to be false/ dubious at any stage, necessary action for committing fraud under Section 447 and 448 of the Act shall be initiated against the Petitioners and all its Directors for punishment under Section 449 of the Act.

N. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including Forms and Formats contained in the Rules as well as the provisions of the Act by the Petitioners.

15. Further, the **Registry is directed** to serve notices to the above-mentioned statutory authorities [para 14(J)] through email.

16. The Applications CA (CAA)-90 (ND) of 2020 stands **allowed** to the extent as stated above and on the aforesaid terms.

-Sd/-

(K. K. VOHRA)
MEMBER (T)

-Sd/-

(P.S.N PRASAD)
MEMBER (J)